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(S E R V E D)
(March 29, 2005)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D. C.

March 29, 2005

DOCKET NO. 04-07

TRANS-NET, INC.

v.

FESCO OCEAN MANAGEMENT LIMITED

COMPLAINT DISMISSED; MOTION TO APPROVE
CONFIDENTIAL SETTLEMENT GRANTED

The parties have entered into a settlement agreement and ask that it be approved and that the complaint be dismissed with prejudice under the terms provided in the confidential settlement.¹ As discussed below, by approving this settlement agreement, the parties will avoid the need to prolong their already lengthy dispute, will be able to conduct their businesses amicably and lawfully, and will release the Commission from having to invest time and money to determine numerous

¹The parties have filed a public version of their motion seeking approval of their settlement agreement. The confidential version and the agreement, however, are filed pursuant to 46 C.F.R. 502.119.

allegations which the parties no longer wish to litigate. This settlement is welcome and follows the strong policy in the law and in Commission proceedings that encourage settlements and alternative means of dispute resolution. The fact that the parties wish to keep the terms of their settlement confidential presents no impediment to approval of their agreement and, indeed, the Commission has approved numerous settlements in previous cases in which the parties have requested that their agreements not be made public.² Of course, the Commission is free to examine the confidential settlement, which will be retained in the Commission's confidential files. Having examined this confidential settlement agreement, I find that it fully qualifies for approval under longstanding Commission criteria for approval of settlement agreements set forth in countless cases. The following brief discussion of the background of the parties' dispute will illustrate their wisdom in bringing to a conclusion this litigation.

Background to the Present Case

The present case was begun by the filing of a complaint by Trans-Net, Inc., an NVOCC (non-vessel operating common carrier), that alleges that respondent FOML, another carrier, was violating some ten sections of the Shipping Act of 1984. The instant complaint constitutes a continuation of a dispute between these two competing carriers that first surfaced before the Commission in Docket No. 03-08, *Trans-Net, Inc. v. FESCO Ocean Management Limited*. In that

²The parties have cited some of the Commission cases in which confidential settlements have been approved. See, e.g., *Kawasaki Kisen Kaisha, Ltd. v. Intercontinental Exchange, Inc. and Ignacio Gomez*, 29 S.R.R. 227, 228-229 (I.D., administratively final, August 16, 2001); *Marine Dynamics v. RTM, Ltd.*, 27 S.R.R. 503, 504 (I.D.), administratively final, March 14, 1996; and *Amsov Co., Inc. v. Dan-Transport Corp.*, 27 S.R.R. 496, 498 (I.D.), administratively final, September 7, 1995. Still more cases in which settlements were approved under conditions of confidentiality can be found in Docket No. 03-05 - *Monarch Shipping Agency, LLC, et al. v. Logistec Connecticut, Inc., et al.* (ALJ), administratively final, December 3, 2003, at 3-4, and cases cited therein (unreported). See also Docket No. 03-01 - *HUAL AS v. Puerto Rico Ports Authority* (ALJ), administratively final, October 7, 2003, at 4 (unreported.)

case, Trans-Net filed its complaint against FOML, alleging essentially that FOML had been operating under an agreement with another carrier that had not been filed with the Commission as required by section 5 of the Shipping Act of 1984, and had been operating unlawfully in other respects, causing injury to Trans-Net's business. More specifically, Trans-Net alleged that FOML had been operating under an unfiled agreement with another carrier that was a member of an association of carriers known as the Grand Alliance. Under this arrangement, that other carrier would transport cargoes from U.S. West Coast Ports to Busan, Korea, at which point they would be transshipped to ships that were chartered to FOML by its parent company known as FESCO for movement to ports in Russia, the entire movement being covered by a tariff published by FOML. Trans-Net alleged that this arrangement between FOML and the carrier member of the Grand Alliance was nothing more than exclusive space chartering, which is required to be filed with the Commission. FOML, however, claimed that the arrangement was a non-exclusive transshipment agreement that is exempt from filing pursuant to 46 C.F.R. 535.306(a).

Although the primary basis for Trans-net's complaint was that the above arrangement was not filed with the Commission and that FOML had thereby violated section 5 of the Act, Trans-Net alleged that FOML committed additional violations of law, even implicating other carriers. Thus, Trans-Net alleged that FOML had been chartering vessels operated by the carrier member of the Grand Alliance in violation of that association's agreement, that FOML had been chartering vessels of different carriers operating between Korean ports and Russian ports, that FOML had been offering an eastbound service that was not advertised, that FOML had been circumventing tariff publishing requirements and offering services designed to mislead the public, and that FOML did not own or operate vessels that called directly at ports in Russia or Korea or at ports on the U.S.

West Coast. Trans-Net concluded by alleging that FOML's activities and practices under their arrangements "comprised a device to drive out competition," threatening Trans-Net's ability to continue serving the U.S. West Coast-Russian trade, and that FOML's activities "were, and continue to be, the proximate cause of harm to Trans-Net." Trans-Net alleged that FOML had violated sections 5, 10(a)(2), and 10(d)(1) of the 1984 Act and 46 C.F.R. 535.901, and asked for a cease and desist order and for reparations for the alleged injury caused to Trans-Net by such violations.

FOML denied all the above allegations and argued that its transshipment arrangement was non-exclusive and thus was exempt from filing under the Commission's relevant regulation, 46 C.F.R. 535.306(a), and that its operations were entirely lawful and properly explained in its published tariffs without deceiving the shipping public. FOML relied on the Commission's decision in *Ocean Common Carriers Subject to the Shipping Act of 1984*, 28 S.R.R. 1414, 1418 (2000), which held that if a common carrier operated a vessel in one U.S. trade then it could act as an ocean common carrier (i.e., as a vessel-operating common carrier) in all U.S. trades and thus FOML was authorized to enter into a transshipment agreement. FOML also argued that the Commission's staff had been informed of FOML's operations without raising objections.

It became apparent during the course of the proceeding that the parties were arguing about the correct interpretation of the Commission's regulation exempting non-exclusive transshipment agreements from filing. Moreover, other problems were noted, particularly the problem in law of showing that the failure to file an agreement can be the proximate cause of injury to a complaining competitor. However, FOML decided to file its agreement, hoping to remove the main reason for the complaint and filed a motion to dismiss the complaint. On May 13, 2004, I granted the motion mainly on the ground that the radical change in facts had made the original complaint obsolete and

that the complaint needed considerable updating to reflect the change in circumstances and to clarify the various allegations. Accordingly, the complaint was dismissed without prejudice to the refiling of an updated complaint. See Docket No. 03-08 - *Trans-Net v. FESCO Ocean Management Limited*, Dismissal of Complaint with Leave to Amend, May 13, 2004, F.M.C. notice of non-review, June 15, 2004, 30 S.R.R. 299.

On June 24, 2004, Trans-Net filed its amended complaint, which was served on July 1, 2005. This complaint, which triggered the instant proceeding, considerably augmented the complaint in Docket No. 03-08. Instead of only three sections of the 1984 Act and one regulation that Trans-Net alleged had been violated, the instant complaint names some 10 sections of the 1984 Act plus 46 C.F.R. 535.901, as having been violated.³ By augmenting the original complaint, Trans-Net changed the focus of the case from a violation for failure to file an agreement and the proper interpretation of the Commission's regulations exempting the filing of non-exclusive transshipment agreements to an allegation that FOML was, in effect, an NVOCC that could not in law enter into its transshipment agreement with the carrier member of the Grand Alliance and that FOML had engaged in a variety of unlawful practices regarding its operations, including failure to charge its lawful rates, misrepresenting its service to the public, retaliating against Trans-Net by hiring away a Trans-Net employee, and if FOML were actually an NVOCC, operating without a license and bond. Moreover, the problem of proving damages was recognized as one of great difficulty considering the years in which FOML had been operating in the subject trade in the presence of other carriers in that trade, and the question of whether a certain violation alleged could be the proximate cause of Trans-Net's alleged loss of business. To add to the complexity of the case there

³The new complaint alleged violations of sections 5, 10(a)(1), 10(a)(2), 10(a)(3), 10(d)(1), 10(b)(2)(A), 10(b)(3), 10(d)(1), 19(a), 19(b), and 46 C.F.R. 535.901.

was the problem of deciding the threshold issue of whether FOML was operating as a vessel-operating carrier (VOCC) or a non-vessel operating carrier (NVOCC). Several of the sections of the Act alleged to have been violated would or would not apply to FOML depending on whether FOML was an NVOCC or a VOCC. After holding a conference with counsel, I issued rulings attempting to clarify the issues but deferred final rulings on some matters pending development of the evidentiary record after completion of discovery. See Notice of Rulings and Schedule Established, etc., November 16, 2004. After issuance of these rulings, counsel for the parties requested suspension of litigation to permit them to enter into settlement discussions and they were given several extensions of time to complete their negotiations after explaining that they were making progress toward settlement but had encountered several difficult issues. They have now been able to overcome their difficulties and have reached an amicable resolution of their dispute and request permission to end their litigation and get on with their businesses in a lawful manner.

Approvability of the Settlement Agreement

In view of the countless cases in which the Commission has approved settlement agreements, it is unnecessary to cite the numerous authorities that approve and encourage settlements, including the Administrative Procedure Act (APA) (5 U.S.C. sec. 554(b)(3)), the courts in *Pennsylvania Gas and Water Power Company v. Federal Power Commission*, 463 F.2d 1242, 1247 (D.C. Cir. 1972); and *Carson v. American Brands, Inc.*, 450 U.S. 79, 89-90 (1981); and the Commission in *Old Ben Coal Company v. Sea-Land Service, Inc.*, 18 S.R.R. 1086, 1091-1095 (1978), and throughout the Commission's rules of practice and procedure, such as 46 C.F.R. 502.91(b); 502.94(a)(1); 502.61(d); and 502.401 *et seq.* (Subpart U—Alternative Dispute Resolution). As was stated in *Old Ben*, the

Commission does not merely rubberstamp proffered settlement agreements but merely satisfies itself that the settlement offends no law or public policy.

The subject confidential settlement agreement, which the Commission is free to examine, offends no law or public policy and, more specifically, contravenes nothing in the Shipping Act of 1984.

In view of the foregoing, the complaint is dismissed with prejudice as requested by the parties under the terms specified in their agreement subject to review by the Commission pursuant to 46 C.F.R. 502.227(c).

A handwritten signature in cursive script that reads "Norman D. Kline".

Norman D. Kline
Administrative Law Judge

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ORIGINAL ALJ(1)
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FEDERAL MARITIME COMMISSION

BEFORE THE FEDERAL MARITIME COMMISSION

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**JOINT MOTION AND MEMORANDUM FOR APPROVAL OF
CONFIDENTIAL AGREEMENT OF SETTLEMENT AND RELEASE**

I. INTRODUCTION

Complainant Trans-Net, Inc. ("Trans-Net") and Respondent FESCO Ocean Management Limited ("FOML"), together the "Parties," submit this motion for approval of a Confidential Agreement of Settlement and Release (the "Confidential Settlement") that resolves all issues in the captioned proceeding.

The Parties move also that the complete Confidential Settlement be held confidentially by the Presiding Judge and by the Commission and barred from public view or disclosure, except on the conditions stated in the Confidential Settlement. The Parties further move that the complaint herein be dismissed with prejudice upon the issuance of a final Commission decision or order resulting in the final approval of the Confidential Settlement.

The Confidential Settlement requires the parties to keep the terms and conditions of the Settlement confidential. This confidentiality requirement is an important and necessary element of the Confidential Settlement, which could be compromised by a breach of such confidentiality. Ample Commission precedent supports the confidentiality of settlements at the request of the parties.¹ The Confidential Settlement is attached hereto as CONFIDENTIAL Attachment 1.

II. THE CONFIDENTIAL SETTLEMENT

The Parties' Confidential Settlement covers all issues in dispute; and the Confidential Settlement is discussed here only briefly because of the Parties' request that the complete Confidential Settlement be kept confidential in the Commission's confidential files.

FOML expressly denies the allegations and claims in Trans-Net's complaint and denies, as well, any liability to Trans-Net arising from those allegations and claims. Trans-Net expressly denies any grounds for any liability to FOML for any actual or potential claims or counterclaims by FOML against Trans-Net.

The Parties recognize that significant and possibly novel issues are in dispute, and wish to avoid the expenditure of resources and the time, delay and uncertainty likely to occur in continued litigation over these issues. The Parties therefore have pursued good faith negotiations to achieve a mutually acceptable arm's length settlement of all the issues. Trans-Net and FOML agree to release each other from any and all causes of

¹ *Kawasaki Kisen Kaisha, Ltd. v. Intercontinental Exchange, Inc. and Ignacio Gomez*, 29 SRR 227, 228-229 (ID 2001), Administratively Final August 16, 2001; *Marine Dynamics v. RTM Line, Ltd.*, 27 SRR 503, 504 (ID 1996), Administratively Final March 14, 1996; and *Amsov Co., Inc. v. Dan-Transport Corp.*, 27 SRR 496, 498 (ID 1995), Administratively Final September 7, 1995.

action and claims of whatever nature; and the Parties make no admission of liability of any sort to one another.

The Confidential Settlement contains no provisions that would contravene any law or public policy, and avoids what otherwise could be extensive litigation. The Commission supports measures for avoiding litigation,² and numerous Commission cases underscore the Commission's strong encouragement of settlements, finding them to be just and reasonable absent an indication that they violate law or policy.³

The Parties request for confidentiality is no bar to approval of the Confidential Settlement. Trans-Net and FOML have entered into an arm's-length resolution of the issues in this proceeding, and the terms of the Confidential Settlement are acceptable and satisfactory to Trans-Net and to FOML. The Confidential Settlement is within a complaint case that involves private litigants as Complainant and Respondent, and, in which circumstances, confidentiality is consistent with Commission precedent. The Commission has readily accepted requests for confidentiality of such settlements.⁴

III. CONCLUSION

For the reasons stated above, Trans-Net and FOML respectfully urge the Presiding Judge to approve the Confidential Settlement, to order that the Confidential

² 46 CFR Part 502, Subpart U, Alternative Dispute Resolution.

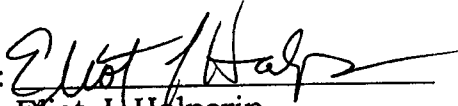
³ See, e.g., *Al Kogan d/b/a Galaway International v. World Express Shipping, et al.*, 29 S.R.R. 68, 70 (ID 2000), Administratively Final January 17, 2001, citing *Old Ben Coal Co. v. Sea-Land Service, Inc.*, 21 F.M.C. 505, 512-515 (FMC 1978) (18 S.R.R. 1085, 1091-1095) and *Great White Fleet v. Southeastern Paper Products, Inc.*, 26 S.R.R. 1487, 1488-1490 (FMC 1994).

⁴ *Al Kogan d/b/a Galaway International*, *supra*, 70, and cases cited.

Settlement be kept confidential by the Commission and to dismiss this proceeding with prejudice under the terms provided in the Confidential Settlement.

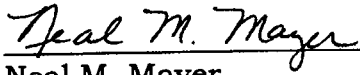
Respectfully submitted,

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Date: March 29, 2005

CONFIDENTIAL – RESTRICTED

BEFORE THE FEDERAL MARITIME COMMISSION

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